

Letter 1:

**An Open Letter to Herbert Hoover on Whether New Deal Policies Have Helped or Hindered the Economic Recovery of the United States
(December 1939)**

King's College,
Cambridge,
England.

Dear Mr Hoover,

In the shadow of global conflict and persistent economic recession, I address this open letter to you, a former steward of the American economy, to reflect upon the efficacy of President Roosevelt's New Deal policies in fostering recovery from the Great Depression. As one who has advocated for deliberate governmental intervention to counteract the deficiencies of laissez-faire economics, I would argue that these measures have made a significant contribution to recovery, and with some flaws of their own that should be explored openly.

The New Deal's emphasis on public expenditure and relief programs has been instrumental in stimulating aggregate demand, a principle I have elucidated in my writings. By injecting purchasing power into the economy through initiatives such as the Works Progress Administration and the Civilian Conservation Corps, the administration has mitigated the downward spiral of unemployment and deflation that characterized the early 1930s. Data indicate that gross national product rose from approximately \$55 billion in 1933 to over \$90 billion by 1939, with unemployment declining from 25 percent to around 17 percent.¹ This progress, while incomplete, contrasts sharply with the policies of fiscal restraint pursued during your tenure, which, regrettably, exacerbated the contraction by prioritizing balanced budgets over expansionary measures.

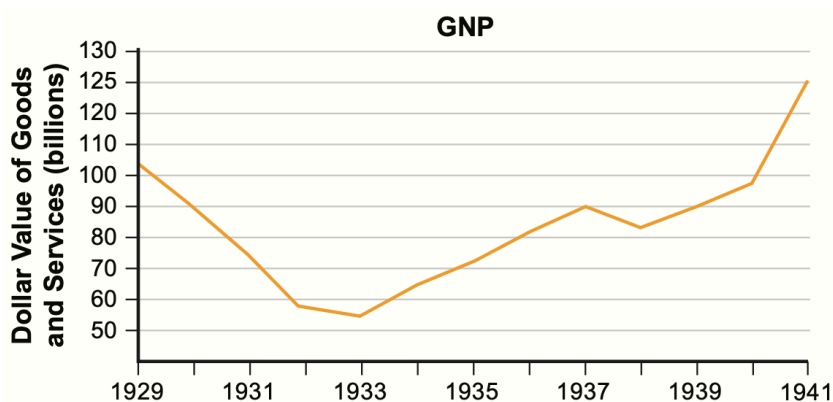


Figure 1. Effects of the Great Depression - Graph of U.S. Gross National Product. (John J. Newman and John M. Schmalbach, *Advanced Placement United States History*. [Cedar Rapids: Perfection Learning, 2021], 520.)

Critics, including yourself, have claimed that these interventions are unnatural in the market and create dependency. But according to empirical evidence, the opposite was not true: the Agricultural Adjustment Act with all of its controversies stabilized farm income, and avoided price panics caused by surpluses, which profoundly hurt the rural economy of the 1930-1933 depression.² These measures are in keeping with the necessity of government intervention to counterbalance when the investment of the private is dropping as I had postulated that the government should introduce a loan-funded public works to boost output and employment.³

Nevertheless, the recovery remains fragile due to premature fiscal restraint in 1937 that led to recession. Fuller employment could have been realized earlier on had it been supported by higher levels of expenditure. Though the New Deal was meant well in exploring equitable rivalry, it has injected inflexibility in flexibility, which is the same reason why I advise relaxation of the present policy and encouraging reforms rather than orthodoxy, as I have previously suggested.⁴ In sum, the New Deal has propelled the United States toward stability, vindicating active policy over passive orthodoxy. As the 1940 election approaches, Americans must recognize that continued support for such initiatives under President Roosevelt is essential to secure lasting prosperity amid wartime uncertainties.

Considering these, I extend an invitation for further communications on how the principles of managed economic policy can be refined in order to address the challenges ahead.

With great respect,

Your obedient servant,
J. M. Keynes

Letter 2:

**Open Letter to Robert Wagner on Whether the New Deal
Has Done Enough to Help American Workers
(December, 1939)**

King's College,
Cambridge.

Dear Senator Wagner,

As an economist and glimpsing the American scene with your telescope, I am addressing this open letter to you, the founder of great labor laws, to determine whether the New Deal by President Roosevelt has done enough to serve the people who have been the core of any just recovery- the working classes. Although the policies have represented a tide of progress in protecting the rights of workers, as well as offering relief, I believe that further gaps need to be bridged to ensure that they are fully secure in this period of economic instability and future international conflict.

The National Labor Relations Act of 1935, bearing your name, has empowered unions by guaranteeing collective bargaining, resulting in a surge of organized labor from fewer than 3 million members in 1933 to over 8 million by 1939.⁵ The Fair Labor Standards Act of 1938 that ensured minimum wages and maximum hours worked are complementary measures that directly helped poor workers and decreased child labor. These reforms resonate with my advocacy to maintain demand by ensuring greater earnings because low purchasing power will continue to provide stagnation.⁶

Yet, the New Deal's achievements fall short in several respects. Unemployment insurance through the Federal Emergency Relief Administration and its directors has helped to reduce the immediate distress but has not adequately converted workers into permanent skilled jobs. Millions of people cannot find a job even though they would work, especially in the industrial sphere where machines take the jobs away but do not provide workers with appropriate retraining, which should be considered an indicator of the necessity of the inclusive policies.⁷ These weaknesses were revealed during the 1937 recession as reduction of government works hit the proletariat more than the bourgeoisie and reversed employment improvements.⁸

In order to strengthen workers further, I would provide more government spending on infrastructure and education which are funded by loans, to generate long term jobs and increase productivity. With the country considering a third term by President Roosevelt, these additions would build the social fabric against fascism in other countries. Your continued leadership in labor advocacy could propel these refinements, ensuring the New Deal evolves to meet the full measure of workers' needs.

Yours faithfully,

J. M. Keynes

Letter 3:

**Private Letter to President Franklin D. Roosevelt on Whether Roosevelt's Foreign Policy
Has Pursued American Interests
(December 1939)**

Cambridge, England

Dear Mr President,

In this private correspondence, prompted by our prior exchanges and the gravity of the hour, I venture to offer reflections on your foreign policy as it pertains to American interests amid the outbreak of war in Europe. As the aggression of Germany has gone unchecked and Britain is fighting to survive, your administration and its policy of maintaining isolationist feelings with cautious support of democracies has been a wise move to promote the U.S. security and economic stability, though bolder steps may now be imperative.

Your work on revising the Neutrality Acts, which led to the amendments of November, 1939, to permit the sale of cash-and-carry arms, have placed wisely America on the side of the Allied powers without participating on the spot. It is a policy which protects American trade, as wars on the seas jeopardizes impartial shipping, and preserves the right of access to markets vital to recovery.⁹ By fostering alliances through diplomatic channels, such as your appeals for peace to Hitler and Mussolini in April 1939, you have demonstrated foresight in countering totalitarian expansion, which, if unchecked, could isolate the United States economically and strategically.¹⁰

However, domestic constraints have tempered these initiatives. The continuation of rigid neutrality before September was a danger of underestimating the Axis threat that might have negatively affected the long-term American interests in global trade and peace. Not alone can prosperity be stimulated by internal stimulus; it also requires international collaboration; a disrupted Europe imperils U.S. exports, which constitute a significant portion of the national product.¹¹ To increase to the full extent these interests I call upon prompt aid to Britain, to be made on the basis of such mechanisms as the ones used in domestic recovery, thereby bolstering defenses without provoking undue congressional opposition.¹²

As the 1940 election looms, your leadership in navigating these perils will define America's role in the postwar order. The third term would provide sufficient time to carry on policies that would bring the economy back to track and also preserve global stability as well as prevent isolationism that was the fate of the aftermath of the last war. I remain your ardent supporter in these endeavors.

I am
Mr President

Yours with great respect and faithfulness,

JM Keynes

Endnotes

¹ John J. Newman and John M. Schmalbach, *United States History: Preparing for the Advanced Placement Examination* (Cedar Rapids: Perfection Learning, 2021), 520.

² Peter Temin, "Was There a Keynesian Economy in the USA between 1933 and 1945?," *Journal of Economic History* 36, no. 1 (March 1976): 261-280, <https://www.jstor.org/stable/261143>.

³ John Maynard Keynes, *The General Theory of Employment, Interest, and Money* (London: Macmillan, 1936), 377-379.

⁴ John Maynard Keynes, "An Open Letter to President Roosevelt," *New York Times*, December 31, 1933, reprinted in *Collected Writings of John Maynard Keynes*, vol. 21 (London: Macmillan, 1978), 289-297.

⁵ Newman and Schmalbach, *United States History*, 520, 530.

⁶ Keynes, *General Theory*, 104-106.

⁷ Nancy E. Rose, "Welfare in the New Deal Era," *Journal of Women's History* 10, no. 4 (Winter 1999): 157-181, <https://www.jstor.org/stable/45312886>.

⁸ William J. Barber, "The Keynesians and Government Policy, 1933-1939," *American Economic Review* 62, no. 1/2 (March-May 1972): 199-205, <https://www.jstor.org/stable/1821531>.

⁹ Newman and Schmalbach, *United States History*, 545-546, 550-553, 573.

¹⁰ David Reynolds, "FDR's Foreign Policy and the British Royal Visit to the U.S.A., 1939," *Historical Journal* 45, no. 3 (September 2002): 461-472, <https://www.jstor.org/stable/24446322>.

¹¹ John Maynard Keynes to Franklin D. Roosevelt, February 1, 1938, in *Collected Writings of John Maynard Keynes*, vol. 28 (London: Macmillan, 1982), 100-105.

¹² Wayne S. Cole, "Congressional Isolationists and the Roosevelt Foreign Policy," *World Politics* 21, no. 3 (April 1969): 386-409, <https://www.jstor.org/stable/2009117>.

Bibliography

- Barber, William J. "The Keynesians and Government Policy, 1933-1939." *American Economic Review* 62, no. 1/2 (March-May 1972). <https://www.jstor.org/stable/1821531>.
- Cole, Wayne S. "Congressional Isolationists and the Roosevelt Foreign Policy." *World Politics* 21, no. 3 (April 1969). <https://www.jstor.org/stable/2009117>.
- Keynes, John Maynard. "An Open Letter to President Roosevelt." *New York Times*, December 31, 1933. Reprinted in *Collected Writings of John Maynard Keynes*, vol. 21, 289-297. London: Macmillan, 1978.
- Keynes, John Maynard. Letter to Franklin D. Roosevelt, February 1, 1938. In *Collected Writings of John Maynard Keynes*, vol. 28, 100-105. London: Macmillan, 1982.
- Keynes, John Maynard. *The General Theory of Employment, Interest, and Money*. London: Macmillan, 1936.
- Newman, John J., and John M. Schmalbach. *United States History: Preparing for the Advanced Placement Examination*. Cedar Rapids: Perfection Learning, 2021.
- Reynolds, David. "FDR's Foreign Policy and the British Royal Visit to the U.S.A., 1939." *Historical Journal* 45, no. 3 (September 2002). <https://www.jstor.org/stable/24446322>.
- Rose, Nancy E. "Welfare in the New Deal Era." *Journal of Women's History* 10, no. 4 (Winter 1999). <https://www.jstor.org/stable/45312886>.
- Temin, Peter. "Was There a Keynesian Economy in the USA between 1933 and 1945?" *Journal of Economic History* 36, no. 1 (March 1976). <https://www.jstor.org/stable/261143>.